



OmniStep Footwear

Global Operations Report

Presented By: **Team Polaris**

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The Challenge

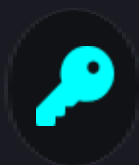
OmniStep handles substantial transaction volumes across six primary international boundaries and five distinct footwear lines. However, aggressive promotional campaigns have masked visibility, requiring a strategic audit to verify whether steep markdowns generate volume or dilute core margins.

Data & Methodology



Relational Star Schema

Transitioned from flat-file formats to a normalized database model. By decoupling master descriptive attributes from transactional events, memory use drops, and cross-filtering becomes instantaneous.



Dimension Isolation

Isolated *Dim_Product* and *Dim_Order_Context*. Generated stable integer-based Surrogate Keys to serve as primary keys, drastically optimizing database compression and calculation speeds.



Diagnostic DAX

Deployed an 11-measure analytical engine including Net Revenue, Effective Discount Rate, and Discount Elasticity Index to isolate operational health and pricing vulnerabilities.

Global Performance Profile

\$9.08M

Total Net Revenue

Baseline Health Check

Across 30,005 global orders and 75,021 physical units sold, OmniStep maintains an overall robust performance architecture with strong brand sentiment.

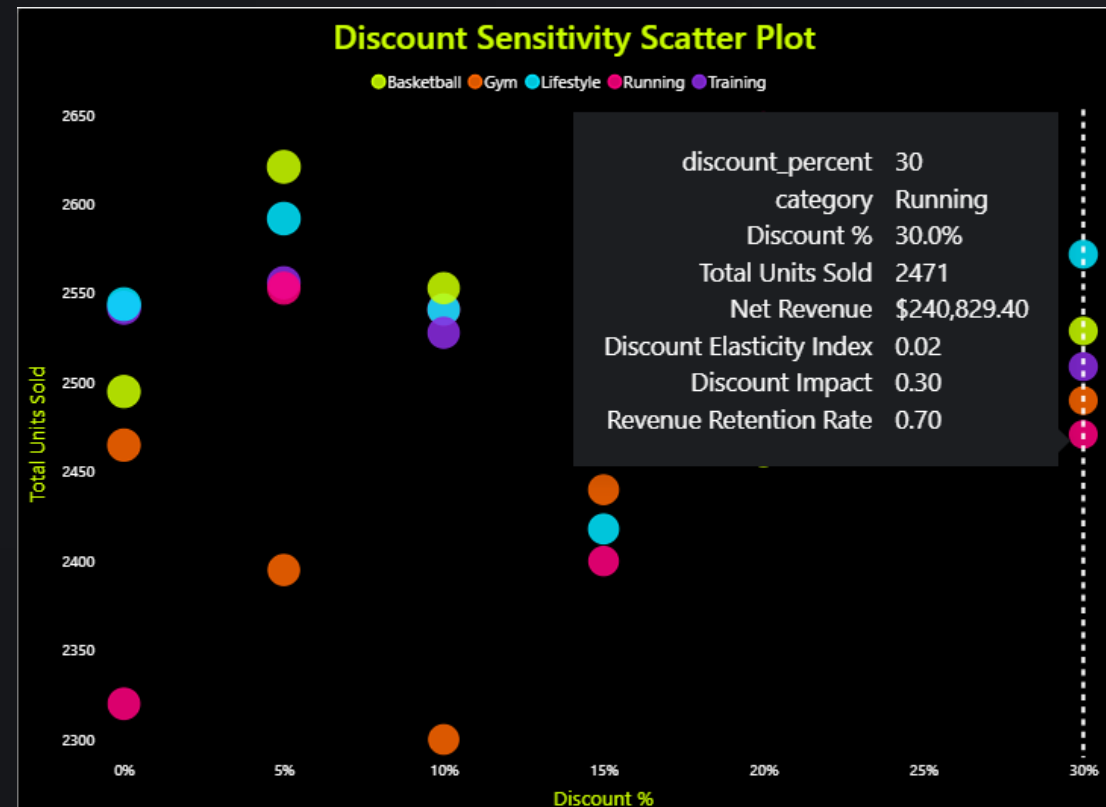
- > **Global CSAT Score:** 4.0 / 5.0
- > **Global Revenue Retention:** 86.66%
- > **Average Discount Rate:** 13.33%

Key Finding 1: Profitability Leakage

The Markdown Hemorrhage

While global revenue retention is high (86.66%), diving into specific discount tiers exposes severe operational concerns regarding promotional pricing logic.

- Baseline performance maintains steady retention between 86.49% and 86.74%.
- The Discount Elasticity Index drops heavily at the 30% threshold.
- Customer satisfaction (CSAT) stays flat at 4.0, proving steep discounts do not improve brand loyalty.



Margin Cannibalization Data

Footwear Category & Promo Tier	Total Units Sold	Net Revenue Yield
Basketball (0% Promotion)	2,495	\$342,063.00
Basketball (30% High Promotion)	2,529	\$243,784.10
Running (20% Medium Promotion)	2,640	\$289,120.00
Running (30% High Promotion)	2,471	\$240,829.40

Negative Volume Elasticity: Pushing discounts from 20% to 30% in Running reversed volume, dropping units from 2,640 to 2,471 and immediately losing \$48,290 in net value.

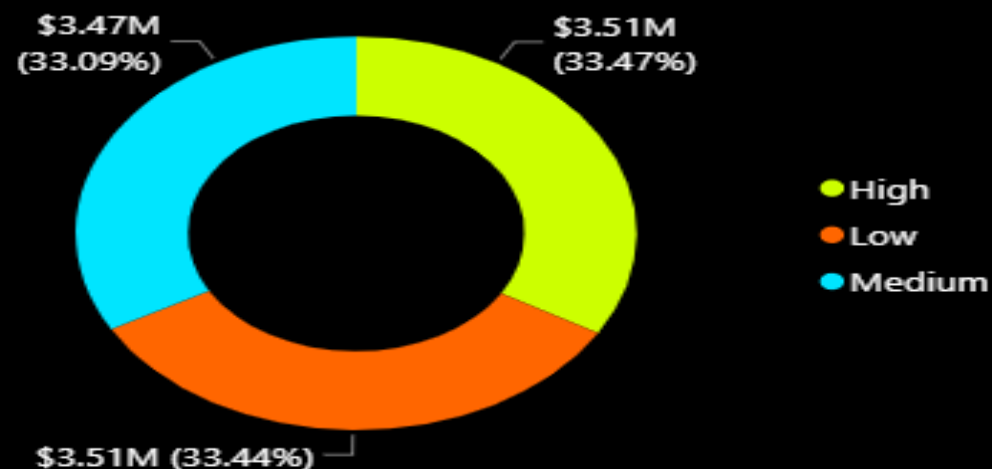
Key Finding 2: Customer Demographics

Uniform Resilient Demand

Analyzing consumer spend behavior shows a remarkably balanced, uniform customer base that does not require deep markdowns for engagement.

- > **Income Cohorts:** Spend is split perfectly in thirds; High, Medium, and Low income each contribute roughly ~\$3M.
- > **Channel Distribution:** Purchases are evenly split between Online and Retail Store channels.
- > **Payment Preference:** Card, Cash, Wallet, and Bank Transfer each capture ~25% of total orders consistently.

Gross Sales by Income level

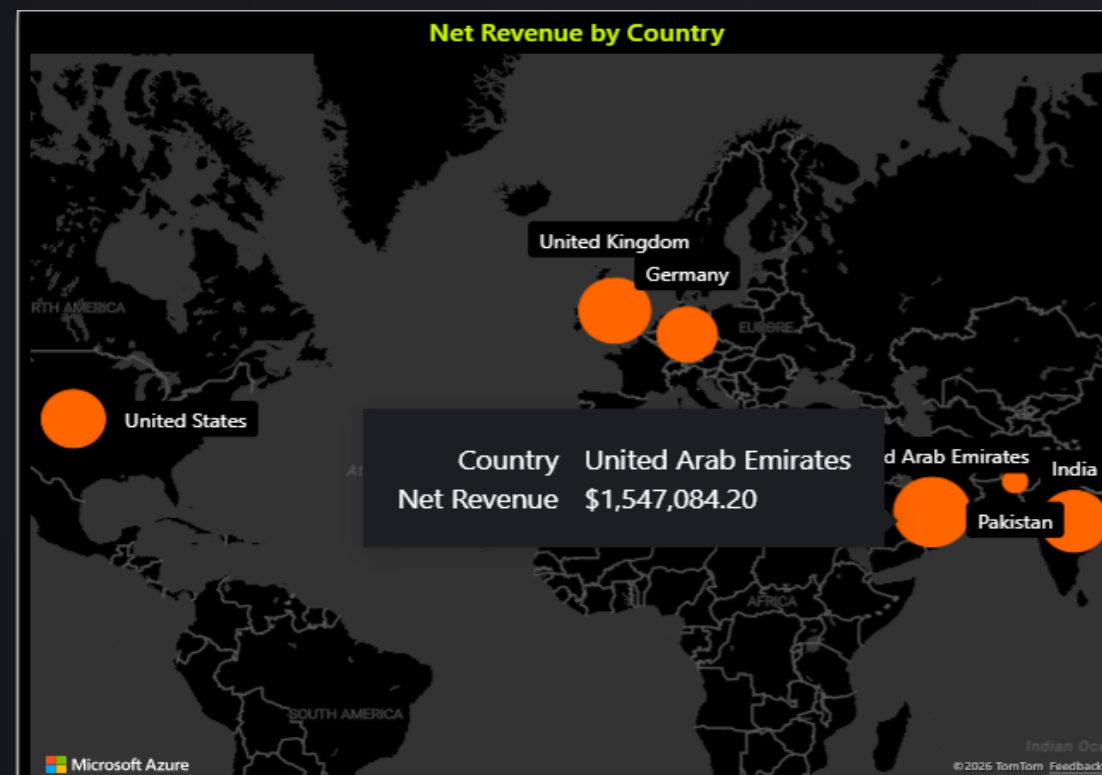


Key Finding 3: Geographic & Ops Gaps

Regional & Sizing Imbalances

While global numbers are healthy, regional execution highlights severe inventory and territorial velocity mismatches.

- > **Top Performer:** UAE leads the global market, moving 12,823 units for over \$1.54M in net value.
- > **Regional Bottleneck:** Pakistan underperforms the UAE by over \$80K in net revenue and lags by 760 physical units.
- > **Size Velocity:** Size 7 generates the highest velocity (\$1.53M), while Size 8 trails as the lowest-velocity asset (\$1.50M).

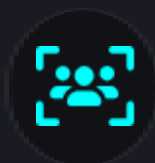


Strategic Conclusions



Promotional Inefficiency

OmniStep's markdown framework is broken. Consumer demand is inelastic past 15%. Pushing 30% markdowns merely erodes margins without clearing stock faster.



Resilient Demand

The customer base is exceptionally balanced across income brackets and channels, proving strong product-market fit that doesn't need desperate pricing tactics.



Supply Chain Gaps

A mismatch exists between regional allocation and localized sizing velocity, trapping capital in low-performing regions and lower-velocity inventory.

Pricing Recommendations

1. Strict Promotional Governance

Eliminate automated 30% discount options across all platforms. Transaction data proves the optimal "sweet spot" is between 5% and 15%.

Action: Enforce a strict 15% promotional cap on standard marketing campaigns. This will protect margins, prevent price cannibalization, and preserve the 86%+ Retention Rate.

2. Time-Gated Markdowns

Transition away from continuous, open-ended promotional campaigns to targeted schedules based on multi-year seasonal demand surges.

Action: Restrict markdowns during historically high-volume peak months (May, July, October) to capture full-price margins. Run promotions strictly during low-volume windows (February).

Operational Recommendations

3. Optimize Supply Chain Allocation

Re-align inventory distribution and manufacturing runs with localized size velocity to prevent warehouse deadstock.

Action: Increase Size 7 production allocations and route directly to the UAE and UK. Reduce low-velocity Size 8 buffers by 15% to lower holding costs, and target Pakistan with gap-closing promotions.

4. Expand Data Pipelines (CAC)

Connect financial leakage directly to customer acquisition costs to ensure deep discounting isn't a symptom of inefficient marketing.

Action: Integrate Google Ads and Meta Campaign data into *Dim_Order_Context*. Tracking ad spend against transaction IDs will unlock accurate ROAS and CLV metrics.

Questions?

Thank you for your time and attention.

Presented by Team Polaris